

100 coffees. Zero profit.

A busy counter does not mean
the day made money.



DAILY RECEIPT

100 cups

\$500 sales

\$0 profit

Fictional example

The day starts with a \$300 bill.

Overhead is the cost of running the cafe.
Our example allocates these costs per day.

DAILY OVERHEAD	\$300
Rent	\$75
Scheduled staff + owner pay	\$180
Equipment + base bills	\$45

These costs stay fixed across the sales
volumes in this example. Owner pay is included.

A \$5 sale does not leave \$5.

Each cup adds \$2 of costs.
Only \$3 remains to pay the daily bills.

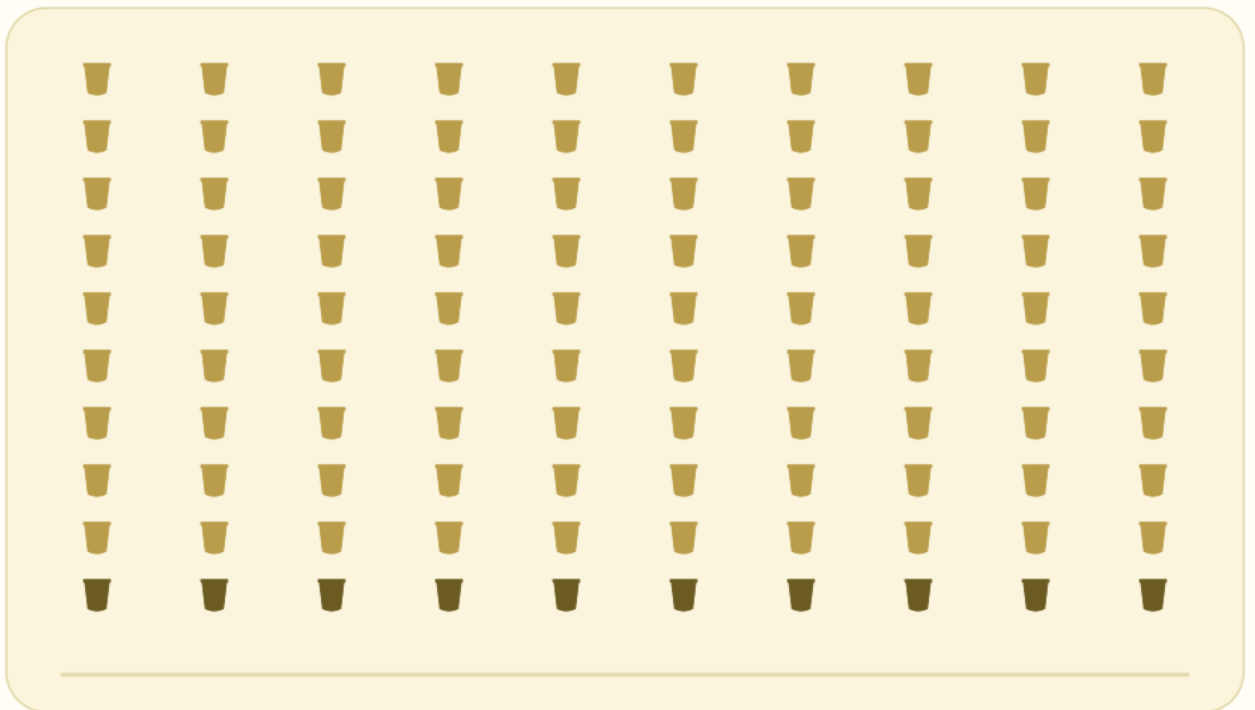


The \$2 covers ingredients, cups and per-sale costs.
The \$3 is contribution, not profit yet.

THE BREAK-EVEN POINT

100 cups pay for the day.

$\$300 \text{ daily overhead} \div \$3 \text{ per cup} = 100 \text{ cups}$



$\$500 \text{ sales} - \$200 \text{ cup costs} - \300 overhead
leaves \$0. That is break-even.

Why not divide \$300 by \$5?

Because every sale creates costs too.

60 CUPS SOLD

~~$\$300 \div \$5 = 60$~~

Sales	\$300
Per-cup costs	-\$120
Daily overhead	-\$300

Operating result	-\$120
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Only \$180 remains for a \$300 overhead bill.

The cafe is still \$120 short.

Cup 101 starts the profit.

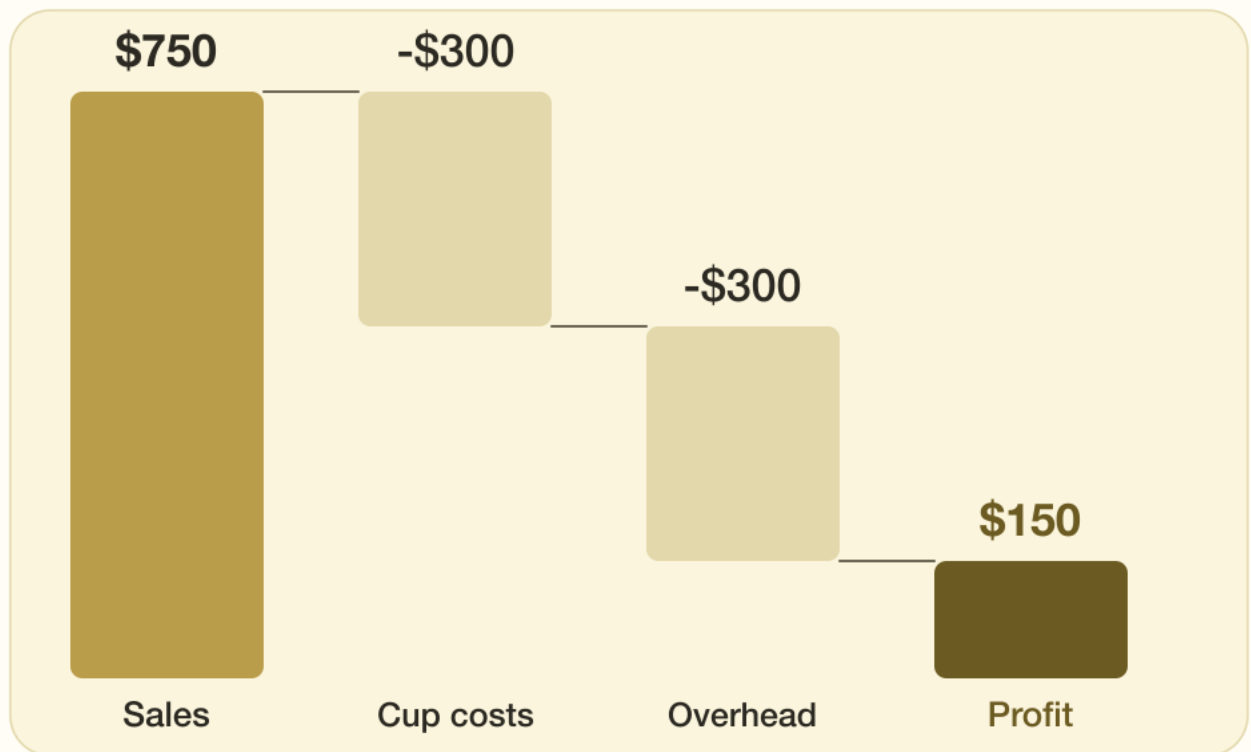
The first 100 cover the day.
The next one leaves an extra \$3.



Model operating result before tax and financing.
Same price, costs and staffing assumptions.

150 cups. \$150 profit.

Sales are the starting number.
Costs still have to come out.



Model operating profit before tax and financing.

PRICE CHANGES THE HURDLE

Lower price. More cups needed.

Keep the \$2 cup cost and \$300 daily overhead.
Now change only the selling price.

PRICE: \$5

Leaves \$3 per cup

100

cups to break even

PRICE: \$4

Leaves \$2 per cup

150

cups to break even

More customers can help. But more sales
are needed before this cafe covers its day.

What does each sale leave?

01 Start with the selling price.

02 Subtract the costs of that sale.

03 Use what remains to cover overhead.

Use costs from the same time period.

Real cafes need their real costs and menu mix.

Fictional one-coffee model. Prices and costs stay fixed.

A planning estimate, not a cash-flow forecast.